



West Bengal State Electricity Distribution Company Limited
(A Govt. of West Bengal Enterprise)

Registered Office : Vidyut Bhavan, Bidhannagar, Block - DJ, Sector - II, Kolkata - 700 091
CIN: U40109WB2007SGC113473, website: www.wbsedcl.in

Office Order No. : 942

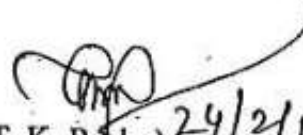
Dated : 24-02-2015

Sub: Code of Business Conduct and Ethics

The Board of Directors of the Company in its 53rd meeting held on 27th January, 2015 framed a Code of Business Conduct and Ethics for its Senior Management personnel in accordance with the Guidelines on Corporate Governance. A copy of the Code of Business Conduct and Ethics of the Company is enclosed as ready reference.

All Board members and Senior Management personnel shall affirm compliance with the Code on an annual basis. The Annual Report of the Company shall contain a declaration to this effect signed by the CMD.

The Code of Business Conduct and Ethics so framed for Board Members and Senior Management of the Company shall be implemented with effect from 01.04.2015 and a copy of the Code shall be posted on the website of the Company.


(T. K. Rudra)
Director (HR)

24/2/15

West Bengal State Electricity Distribution Company Limited

CODE OF CONDUCT AND ETHICS FOR BOARD MEMBERS AND SENIOR MANAGEMENT

1. INTRODUCTION

There is a dramatic increase in the expectations of employees, officers, consumers and other stakeholders that all those who are vested with policy/decision making should act and conduct themselves as per certain ground rules of ethical conduct. The purpose of this Code is therefore, to lay down certain ground rules to promote ethical conduct and good practices and to deter wrong-doing.

The Code is designed to assist in defining appropriate personal and professional conduct, to provide guidance in the identification and resolution of ethical issues, and to help the members of the Board and the members of the Senior Management of West Bengal State Electricity Distribution Company Limited (hereinafter referred to as “WBSEDCL”) to maintain the culture of honesty, integrity, transparency and accountability.

- 1.1 This Code shall be called **“Code of Business Conduct & Ethics for Board Members and Senior Management”** of WBSEDCL.
- 1.2 It shall come into force with effect from the 1.4. 2015.

2. DEFINITIONS AND INTERPRETATIONS

- 2.1 The term “Board Members” shall mean Directors on the Board of Directors of WBSEDCL.
- 2.2 The term “Relative” shall have the same meaning as defined in Section 2(77) of the Companies Act, 2013.
- 2.3 The term “Senior Management” shall mean Executive Directors, Company Secretary, Chief Engineers, General Managers, and Officers of equivalent rank & Head of Department & such other Officers reporting directly to the Chairman & Managing Director.

3. APPLICABILITY

This code shall be applicable to the following personnel:

- a) All Directors on the Board of Directors of WBSEDCL including the Chairman & Managing Director.
- b) Senior Management.

Note:

The Code of Conduct shall be in addition to and not in derogation of the Code of Conduct laid down in the WBSEDCL Service Rules, applicable policies, rules and procedures of WBSEDCL as regards the Whole-time Directors and members of the Senior Management. Every Board Member and member of the Senior Management must comply with the letter and spirit of this Code.

4. CONTENTS OF CODE:

This code is intended to serve as a basis for ethical decision-making in the conduct of professional work. It may also serve as a basis for judging the merit of a formal complaint pertaining to violation of professional ethical standards.

4.1 COMPLIANCE WITH LAW

All Board Members and the members of the Senior Management of WBSEDCL must respect and comply with all laws, rules and regulations of India. Violating the law must be avoided under all and any circumstances.

4.2 CONFLICT OF INTEREST

Each Board Member and every member of the Senior Management should avoid any conflict of interests with that of WBSEDCL. A 'conflict of interest' exists where the interests or benefits of one person or entity conflict with the interests or benefits of WBSEDCL. The Board Members and the members of the Senior Management must avoid situations involving actual or potential conflict of interest.

Conflict of interest may also arise when a Board Member or a member of the Senior Management or his or her Relative, or an organization with which the Board Member or Senior Management is affiliated, receives improper benefits as a result of the Board Member's or Senior Management's position.

Any situation that involves or may involve a conflict of interest must be promptly disclosed. No transaction, which involves an actual or potential conflict of interest, should be undertaken by persons in the category of "Senior Management" without prior approval of the Chairman and Managing Director and in case of Board Members, without the approval of the Board. The disclosure made and or the approval granted should be taken note of by the Audit Committee.

4.3 FAIR DEALING

Each Board Member and member of the Senior Management should endeavour to deal fairly with WBSEDCL's Consumers, Employees, Officers and other stakeholders. No Board Member or member of the Senior Management of WBSEDCL should take unfair advantage of anyone through manipulation, concealment, abuse of privileged information, misrepresentation of material facts, or any other unfair dealing practice.

In addition to strict compliance with all legal aspects, all Board Members and the members of the Senior Management are expected to observe the highest standards of business and personal ethics.

4.4 GIFTS AND BUSINESS ENTERTAINMENT

Under no circumstances the Board Members or the members of the Senior Management of WBSEDCL shall solicit, accept or agree to accept anything of value for the benefit of any person from anyone doing or seeking to do

business/dealings with WBSEDCL that is perceived as intended, directly or indirectly, to influence any business/professional decision. Invitations from business partners, especially suppliers may only be accepted if the occasion and the scope of the invitation are appropriate and if refusing the invitation is discourteous.

4.5 PROFESSIONAL OPPORTUNITY

The Board Members and the members of the Senior Management shall not exploit for their own personal gain, opportunities that are discovered through the use of WBSEDCL's property, information or position unless the opportunity is disclosed fully in writing to the Board and the Board permits to pursue such opportunity.

The Board Members and the members of the Senior Management are specifically prohibited from:

- (a) taking for themselves personally any opportunity that properly belongs to the WBSEDCL or is discovered through the use of WBSEDCL's property, information, name or position;
- (b) using WBSEDCL's property, information, name or position for personal gain; and
- (c) competing with WBSEDCL in any manner directly or indirectly.

If a Board Member or a member of the Senior Management reasonably believes or has a reason to believe that a contemplated transaction /dealing might be the WBSEDCL's opportunity or a competitive transaction, the Board Member or member of the Senior Management should make full disclosure to the Board through the appropriate channel and seek its prior authorisation to pursue such transaction.

4.6 CONFIDENTIALITY

The WBSEDCL's confidential information is a valuable asset. The WBSEDCL's confidential information includes information about Consumers, Board discussions, decisions, future plans, proposals and list of associates, affiliates, stakeholders, suppliers, dealers and employees and financial information. All confidential information must be used for the benefit and in the best interest of WBSEDCL. Every Board Member and member of the Senior Management must safeguard the confidentiality as above.

The Board Members and the members of the Senior Management must maintain the confidentiality of the information, which comes to their knowledge/custody by WBSEDCL and any other information, which comes to them about WBSEDCL, except when disclosure is authorized or legally required. Confidential information includes all non-public information that might be harmful or may have potential to cause harm to WBSEDCL if disclosed.

The confidential information, discussions, documents and data should be dealt with utmost care and should not be shared or passed on to any person/outsider under any circumstances, directly or indirectly without authorisation.

4.7 USE OF WBSEDCL'S ASSETS

All Board Members and the members of the Senior Management should protect WBSEDCL's assets and ensure their proper use. Theft, carelessness, mishandling and waste should always be avoided.

4.8 ENCOURAGING THE REPORTING OF ILLEGAL OR UNETHICAL BEHAVIOUR

The Board Members and the members of the Senior Management should endeavour to ensure that WBSEDCL:

- (a) encourages employees to talk to their superiors and other appropriate personnel when in doubt about the best course of action in a particular situation;
- (b) encourages employees to report violation of laws, rules, regulations or WBSEDCL's Code of Conduct to appropriate personnel;
- (c) informs employees that WBSEDCL will not allow retaliation for reports made in good faith.

4.9 INSIDER INFORMATION

It is prohibited to use or tip others on the basis of any insider information, before it is made available to the public and information about any matter has been sufficiently disseminated in public to enable the users of the information to evaluate it. 'Insider information' means any information which is not in public domain /knowledge and which can be used to influence the Consumers' decision in relation to WBSEDCL. The purpose of this policy is both to inform about the legal responsibilities and to make clear to the Board Members and the members of the Senior Management that the misuse of sensitive information is contrary to the WBSEDCL's policy and applicable laws of India.

4.10 CONDUCT

All Board Members and the members of the Senior Management are expected to conduct themselves in such a manner so as to uphold the grace, dignity and professional standing of WBSEDCL.

4.11 SEXUAL HARASSMENT

Board Members and the members of the Senior Management must not engage in conduct that could be construed as sexual harassment. Unwelcome sexual advances, sexually suggestive statements or questions, offensive jokes, offensive touching or petting, requests for sexual favours, displaying or showing sexually suggestive material, and other verbal or physical conduct of a sexual nature may be forms of sexual harassment.

WBSEDCL policy prohibits retaliation against any individual who complains of, or reports an instance of, sexual harassment or participates in an investigation of a sexual harassment complaint.

4.12 POLITICAL ACTIVITIES

Board Members and the members of the Senior Management should make it clear at all times that his/her participation in political activities is as a private citizen and not as a representative of the WBSEDCL. For legal and other reasons, political activities must not be conducted by members of senior management during working hours.

Board Members and the Members of the Senior Management must not involve in the use of the WBSEDCL's assets and facilities for any political purpose or gain or make any political contribution directly or indirectly on behalf of WBSEDCL.

4.13 ATTENDANCE AND PARTICIPATION IN THE MEETINGS

Each Board Member shall strive to attend all meetings of the Board and/ or the Committees thereof, of which he/she is a member and participate faithfully and conscientiously so as to contribute for the development of WBSEDCL.

4.14 COLLECTIVE RESPONSIBILITY

Each Board Member shall at all times honour, propagate and support the decisions taken or policies adopted at the meetings of the Board or any Committee thereof irrespective of his/her dissent or personal disagreement on the matter.

Difference of opinion /perceptions, if any, amongst the Board Members must be discussed internally and be resolved amicably, through dialogue in a congenial atmosphere extending full respects to the Chair.

4.15 DUTY OF CARE AND DUE DILIGENCE

Every Board Member and every member of the Senior Management shall discharge his/her duties and fulfill his/her obligations to WBSEDCL with care and diligence.

4.16 DEVELOPMENT OF ETHICAL CULTURE

Every Board Member and member of Senior Management shall strive to promote and encourage development of ethical culture in WBSEDCL.

4.17 ADMINISTRATION AND WAIVER

Any waiver of any provision of this Code for Board Members or Senior Management of WBSEDCL may be granted only by the Board of Directors, upon recommendation of the Audit Committee. Any waiver must be accompanied by appropriate controls designed to protect WBSEDCL.

4.18 CLARIFICATIONS

It is the responsibility of each Board Member and member of the Senior Management to become familiar with and understand these guidelines, seek further explanation and advice concerning the interpretation and requirements of these guidelines, as well as any situation, which appears to be in conflict with them from

Director (HR) / Company Secretary/ any officer specifically designated by the Board of Directors. In case of any conflict, the decision of the Board of Directors shall be final.

4.19 MONITORING CODE COMPLIANCE

All Board Members and the members of Senior Management of WBSEDCL shall acknowledge receipt of this Code, in the acknowledgement form as at *Appendix-I* and forward the same to the Company Secretary indicating that they have received, read, understood and agreed to comply with this code.

All the Board Members and the members of Senior Management of WBSEDCL shall give annual reaffirmation with respect to compliance of this code by 30th April of every year as at *Appendix-II*.

The Board of Directors of WBSEDCL shall determine appropriate actions to be taken in the event of violations of this Code.

**ACKNOWLEDGEMENT OF RECEIPT OF THE CODE OF BUSINESS CONDUCT &
ETHICS FOR BOARD MEMBERS AND SENIOR MANAGEMENT**

I have received and read “The Code of Business Conduct & Ethics for Board Members and Senior Management” of West Bengal State Electricity Distribution Company Limited (WBSEDCL). I understand the standards and policies contained in the said Code of Business Conduct and Ethics and understand that there may be additional policies or laws specific to my job. I further agree to comply with the said Code of Business Conduct and Ethics.

Further, I undertake to provide Affirmation on an Annual basis to WBSEDCL within 30 days from the end of 31st March every year.

Signature : _____

Name : _____

Designation : _____

Employee Code : _____

Place : _____

Date : _____

AFFIRMATION

(For Board Members and
the members of the Senior Management)

I, _____(name), _____(designation), do hereby acknowledge and confirm that during the Financial Year _____, to the best of my knowledge and belief, I have not violated any of the provisions of the “The Code of Business Conduct & Ethics for Board Members and Senior Management” of WBSEDCL or any of the policies or legal/regulatory requirements of WBSEDCL, as may be applicable to my responsibility.

Signature : _____

Name : _____

Designation : _____

Employee Code : _____

Place : _____

Date : _____

EXTRACTS FROM THE COMPANIES ACT, 2013

Section 2 (77) “relative” with reference to any person, means anyone who is related to another, if-

- (a) they are members of a Hindu undivided family;
- (b) they are husband and wife; or
- (c) one person is related to the other in such manner as may be prescribed

Rule 4 of the Companies (Specification of Definitions Details) Rules, 2014 prescribes, List of Relatives in terms of clause (77) of Section 2 – A person shall be deemed to be the relative of another, if he or she is related to another in the following manner, namely:-

1. Father (including step- father)
2. Mother (including step-mother)
3. Son (including step-son)
4. Son’s wife
5. Daughter
6. Daughter’s husband
7. Brother (including step-brother)
8. Sister (including step-sister)